



Butterfly Strategy

Complete Rule Book for Model Training

Options Strategy | Low Risk | Theta Decay | Sideways Market | NIFTY | Weekly/Monthly

9

Sections

40+

Total Rules

4

Strategy Types

6

Decision Scenarios

Source: Theta Gainers — YouTube (DLVXDjDFmE) | Strategy: Put/Call Butterfly | Market: NIFTY Options

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Introduction

The Butterfly Strategy is a non-directional, defined-risk options strategy that profits from low volatility and time decay. It is widely used by professional prop traders and large funds because of its exceptional risk-reward profile and psychological ease of management.

This rule book distills all core concepts of the Butterfly Strategy into structured, ID-tagged rules organized across 9 sections. Each rule includes a precise directive and a detailed explanation, making this document suitable as a training dataset for language model fine-tuning or as a retrieval-augmented generation (RAG) knowledge base.

Key concepts covered: strategy structure, directional variants (bullish/bearish), the Batman (Double Butterfly) upgrade, step-by-step creation, trade management, scenario-based decisions, comparison with alternative strategies, and the psychological framework for disciplined execution.

Core Principle: Butterfly's maximum loss is ALWAYS defined and known at entry. This removes panic from management and allows the strategy to be held calmly through normal market fluctuations.

01

Strategy Overview

DEFINITION

[OV-01]

A Butterfly is a 3-legged options strategy using SINGLE SIDE only — either all Puts or all Calls. It is NOT an Iron Butterfly.

Iron Butterfly uses both Call + Put spreads simultaneously (4 legs).
Butterfly uses only one side (3 legs).
This makes margin lower and structure simpler.

STRUCTURE

[OV-02]

Butterfly = Sell 2 ATM options + Buy 1 OTM option + Buy 1 ITM option at equal distance from center.

Example – Market at 22350:
Sell 2x 22350 PE (ATM)
Buy 1x 22150 PE (OTM, 200 pts away)
Buy 1x 22550 PE (ITM, 200 pts away)

RISK-REWARD

[OV-03]

Risk-Reward is asymmetric and favorable: Max Loss ~4-5% of capital, Max Profit ~15-20% of capital.

Example values:
Max Loss = Rs. 1,000 per lot
Max Profit = Rs. 4,000 per lot
This 1:4 ratio is the core advantage of Butterfly over other spread strategies.

TIMEFRAME

[OV-04]

NEVER trade Butterfly on daily expiry. Use WEEKLY or MONTHLY expiry only.

Daily expiry: Theta gain is too low; ITM option causes high capital fluctuation.
Weekly/Monthly: Theta decay works efficiently; position can be held calmly.
Peace of mind is the defining feature of this strategy.

Butterfly is extensively used by Prop Desks and large funds for deploying large capital with controlled risk.

When fund size is large and needs to be deployed with limited directional risk, Butterfly provides the ideal structure.
It is not just a retail strategy – it is a professional capital management tool.

02

Types of Butterfly

NEUTRAL

[TY-01]

Neutral Butterfly: Center peak placed exactly at ATM strike. Profit if market stays near current price.

Creation:

1. Identify ATM strike
2. Sell 2 lots ATM
3. Buy 1 lot at equal distance OTM
4. Buy 1 lot at equal distance ITM

Best when market is sideways with low expected movement.

BULLISH

[TY-02]

Bullish Butterfly: Shift entire structure upward. Bring ITM (upper) hedge closer (100 pts vs 200 pts). Profit zone skewed to upside.

Example – Market at 22350:

Sell 2x 22350 PE

Buy 1x 22250 PE (only 100 pts ITM – closer than normal)

Buy 1x 22150 PE (OTM, 200 pts)

Result: Upper breakeven expands, downside breakeven tightens.

BEARISH

[TY-03]

Bearish Butterfly: Bring OTM (lower/downside) hedge closer (100 pts vs 200 pts). Profit zone skewed to downside.

Example – Market at 22350:

Sell 2x 22350 PE

Buy 1x 22450 PE (OTM, only 100 pts away – closer)

Buy 1x 22550 PE (ITM, 200 pts)

Result: Downside stays profitable even if market drops.

Double Butterfly (Batman): Two butterfly structures combined where second butterfly begins at the edge of the first. Dramatically expands profit range.

Creation:

1. Create first butterfly at ATM
2. Identify upper/lower edge of first butterfly
3. Create second butterfly centered near that edge
4. Combined structure creates payoff resembling Batman wings

Trade-off: Max profit reduces slightly, safe zone widens significantly.

03

Step-by-Step Creation

STEP 1

[CR-01]

STEP 1 — Identify Market Condition: Is market trending or sideways? Butterfly ONLY works in sideways/range-bound markets.

Check:

Is there a clear upswing AND downswing creating a range?

Is price oscillating between resistance and support?

No major events expected?

IF YES -> Proceed to Step 2

IF NO -> Do NOT create butterfly

STEP 2

[CR-02]

STEP 2 — Identify ATM Strike: Choose the strike closest to current market price as your center.

Example: NIFTY at 22,347 -> ATM = 22,350

This center strike is where you SELL 2 lots.

The center determines your maximum profit point.

STEP 3

[CR-03]

STEP 3 — Choose Hedge Distance: Standard = 200 points each side. Adjust for bias (100 pts closer side for directional skew).

Neutral : Both sides 200 pts

Bullish : Upper side 100 pts, Lower side 200 pts

Bearish : Lower side 100 pts, Upper side 200 pts

Larger distance = wider range, smaller reward

Smaller distance = narrower range, higher reward

STEP 4**[CR-04]****STEP 4 — Place 3 Legs: Sell 2x ATM, Buy 1x lower strike, Buy 1x upper strike.**

For PUT Butterfly:

SELL 2x 22350 PE

BUY 1x 22150 PE (200 pts OTM)

BUY 1x 22550 PE (200 pts ITM)

For CALL Butterfly:

SELL 2x 22350 CE

BUY 1x 22550 CE (200 pts OTM)

BUY 1x 22150 CE (200 pts ITM)

STEP 5**[CR-05]****STEP 5 — Verify Risk-Reward on Platform: Confirm Max Loss $\leq$ 5% of deployed capital, Max Profit $\geq$ 3x Max Loss.**

Check on payoff diagram:

[OK] Max loss amount is acceptable

[OK] Profit zone width is adequate for expected range

[OK] Breakeven points beyond expected movement

[OK] Premium collected is positive (credit structure preferred)

STEP 6**[CR-06]****STEP 6 — Reference Open Interest: Align butterfly range with high OI zones. High OI = magnetic zones where market tends to consolidate.**

Process:

1. Check highest OI on Call side (acts as resistance)

2. Check highest OI on Put side (acts as support)

3. Ideally, your butterfly profit zone covers this OI range

This increases probability that market stays within your profitable zone.

**DO NOTHING
RULE**

[MG-01]

As long as price stays within profitable zone, DO NOTHING. Low MTM swing is the feature, not a bug.

Butterfly has intentionally low MTM fluctuation.
Gap up, gap down, random intraday swings – none of these significantly damage the position if price stays within range.
DO NOT panic and exit early. This is by design.

MONITORING

[MG-02]

Monitor at 3:00 PM only on near-expiry days. During the week, check once in morning and once near close.

Early in expiry week : Check morning only
2-3 days before expiry: Check morning + 3 PM
Expiry day : Active monitoring from 2 PM

Avoid over-monitoring – it leads to emotional decisions on a strategy designed for calm holding.

PROFIT BOOKING

[MG-03]

If profitable within 1-2 days of entry, CONVERT to No-Loss setup by adjusting hedges to lock in gains.

Process:

1. When MTM profit = 30-50% of max profit -> consider locking
2. Buy back some ATM options at profit
3. Restructure remaining legs so worst case = breakeven
4. Now you hold a 'Full Green' structure – zero loss possible

This is the professional's end goal with butterfly.

RANGE BREACH
— UPSIDE

[MG-04]

If market breaks upper breakeven: Sell far OTM Put Spread in tranches to collect premium. Cover loss gradually. DO NOT exit immediately.

Calculate required recovery:

Max Loss / 25 = required points to sell as premium

Example: Rs. 800 loss / 25 = 32 points needed

Strategy: Sell 40 PE + Buy 20 PE = collect ~20 points per execution

Do this in tranches over remaining days, not all at once.

RANGE BREACH
— DOWNSIDE

[MG-05]

If market breaks lower breakeven: Sell far OTM Call Spread. Same gradual recovery approach. Market may reverse and restore profit.

Key logic: Your maximum loss is FIXED and KNOWN upfront.

You are NOT facing unlimited loss.

If market reverses back into range -> original position profits

If market continues downward -> hedge collects premium to offset

Either way, you are protected within the defined loss framework.

EXIT RULE

[MG-06]

EXIT only when: (A) Max loss is hit AND market shows no reversal signal, OR (B) Major unexpected event changes market structure entirely.

DO NOT exit because:

[X] MTM showing small loss mid-week

[X] Market moved 0.5% against you

[X] You feel nervous

DO exit when:

[OK] Price has blown through BOTH wings

[OK] Trend is clearly established

[OK] Cost to adjust exceeds potential recovery

05

Batman (Double Butterfly)

WHEN TO UPGRADE

[BM-01]

Convert Single -> Batman WHEN: market range expectation expands, single butterfly range feels too tight for expected movement.

Triggers:

Market swinging 300-400 pts intraday
Expected weekly range larger than butterfly breakevens
You still believe market is range-bound (not trending)
3-5 days of expiry remaining

DO NOT upgrade if market is clearly trending in one direction.

BATMAN CREATION

[BM-02]

Create 2nd butterfly where the 1st butterfly's edge becomes the center of the 2nd butterfly.

Step-by-step:

1. First Butterfly: Center at 22350, edges at 22150 & 22550
2. Identify upper edge: ~22500
3. Second Butterfly: Center at 22550, edges at 22350 & 22750
4. Two structures overlap -> wide Batman payoff

Result: Payoff looks like Batman wings – two peaks with a flat middle.

BATMAN TRADE-OFFS

[BM-03]

Batman: Max Profit reduces ~Rs. 800 vs single, Max Loss increases ~Rs. 500, but safe zone width increases by 300-400 points.

Comparison:

Single Butterfly:

Profit: Rs.4,000 | Loss: Rs.1,000 | Safe Zone: 300 pts

Batman:

Profit: Rs.3,200 | Loss: Rs.1,500 | Safe Zone: 600 pts

Professional choice: Batman when probability matters more than max payout.

**BATMAN
MANAGEMENT**

[BM-04]

If price stays between both peaks — DO NOTHING. Theta decay works across wide zone. Only act if BOTH peaks are breached.

Batman scenarios:

Price near peak 1 -> Profitable, hold

Price between peaks -> Moderate profit, theta accumulating

Price near peak 2 -> Profitable, hold

Price below BOTH peaks -> Hedge with far OTM call spread

Price above BOTH peaks -> Hedge with far OTM put spread

**BATMAN BEST
CONDITIONS**

[BM-05]

Batman is BEST in: Expiry week with expected consolidation, moderate-to-high IV, NO major events, market oscillating within a broad range.

Ideal setup:

NIFTY expiry week

Market bouncing between clear support/resistance

IV is not extremely low

Monday-Wednesday creation for Thursday expiry decay

No RBI, Fed, or budget announcement pending

VS DEBIT SPREAD [CM-01]

Debit Spread: Fixed capped profit, high risk. Butterfly: Higher potential profit, lower defined risk. Butterfly wins on risk-reward.

Debit Spread (Bull Put Spread example):

Risk: Rs.2,000 | Reward: Rs.2,000 | Ratio: 1:1 | Flat profit zone

Butterfly:

Risk: Rs.1,000 | Reward: Rs.4,000 | Ratio: 1:4

-> Butterfly is superior when expecting non-movement or slow drift.

VS CREDIT SPREAD

[CM-02]

Credit Spread: Small fixed profit, large potential loss. Butterfly: Small defined loss, large potential profit. Butterfly is structurally safer.

Credit Spread:

Profit: Rs.1,000 (small, fixed) | Loss: Rs.4,000 (large)

Win rate must be very high to be profitable

Butterfly:

Profit: Rs.4,000 | Loss: Rs.1,000

-> Butterfly reverses the credit spread's unfavorable risk-reward.

**VS IRON
BUTTERFLY**

[CM-03]

Iron Butterfly: 4 legs (Call + Put spreads). Regular Butterfly: 3 legs (single side). Margin slightly lower for regular Butterfly.

Iron Butterfly:

4 legs: 2 shorts at ATM + 1 OTM Call + 1 OTM Put

Payoff shape: Same as Butterfly | Margin: Slightly higher

Regular Butterfly:

3 legs: 2 shorts + 2 buys (same side only)

Payoff shape: Identical | Margin: Slightly lower

-> Choose based on broker margin efficiency.

**VS STRADDLE/ST
RANGLE**

[CM-04]

Short Straddle: Unlimited loss, profits from non-movement. Butterfly: Defined loss, also profits from non-movement. Butterfly is the safer alternative.

Short Straddle:

Profits when market stays flat

Loss is UNLIMITED if market moves strongly

High stress, requires active management

Butterfly:

Also profits from market staying flat

Loss is DEFINED and small

Low stress, can hold overnight easily

-> Butterfly is the retail-friendly alternative to short straddle.

NEVER

[DN-01]

NEVER create Butterfly on Day/Same-Day Expiry. Daily options don't have enough time for theta to work or adjustments to be made.

Why not daily:

ITM option is expensive relative to theta earned
Range is very narrow – any small move kills profit
No time for adjustment if market goes wrong
Theta daily gain is negligible vs capital deployed

NEVER

[DN-02]

NEVER use Butterfly in a clearly trending market. This strategy is designed for sideways, range-bound markets ONLY.

Trending market signals to avoid:

Strong breakout above resistance
Strong breakdown below support
Post-event directional momentum
When market has made 1%+ move and is continuing

-> Exit existing butterfly OR add strong directional hedge

NEVER

[DN-03]

NEVER panic-exit due to small MTM loss mid-week. Butterfly naturally shows slow, small losses before expiry decay works.

Common mistake: Seeing Rs. 200-300 MTM loss on Day 1 and exiting.
Reality: This is normal. Position value builds as expiry approaches and market stays in range.

Action: Only exit if MAX LOSS is breached or market has clearly trended.

NEVER

[DN-04]

NEVER make asymmetric hedges without understanding the payoff impact. Every adjustment changes your risk profile.

Each time you move a hedge closer:
That side becomes more protected
Cost of protection is added to the opposite side's max loss

Always check payoff diagram AFTER each adjustment before executing.

NEVER

[DN-05]

NEVER create Batman in a trending market. Batman requires the same sideways condition as single Butterfly.

Batman in a trend = two butterflies both getting breached
= 2x the loss of a single butterfly.

Batman is for probability improvement in sideways markets,
NOT for trending market protection.

AVOID

[DN-06]

AVOID creating Butterfly just before major events (Budget, RBI policy, Fed, election results). IV spike/crash after event distorts entire structure.

Pre-event : IV is high -> options are expensive -> premium collected is good
Post-event: IV crashes -> rapid theta loss BEFORE structure can profit

Rule: If major event within 2 days of expiry, skip that expiry for Butterfly.

08

Decision Scenarios

SCENARIO A

[SC-01]

Market is flat, no major event, expiry in 5 days -> CREATE neutral butterfly at ATM with 200 pt each side.

This is the ideal condition:

[OK] Sideways market

[OK] Adequate time for theta decay

[OK] No event risk

Action: Build standard neutral butterfly.

Enter at market open or after first 30 mins of price discovery.

SCENARIO B

[SC-02]

Market has mild bullish bias but still range-bound -> CREATE bullish butterfly with upper hedge brought 100 pts closer.

Setup if NIFTY at 22350 trending slightly up:

Sell 2x 22350 PE

Buy 1x 22450 PE (ITM, only 100 pts – tighter)

Buy 1x 22150 PE (OTM, 200 pts)

Result: Wider upside profit zone, tighter downside hedge.

SCENARIO C

[SC-03]

Market is moving 300-400 pts intraday but still within a broad range -> UPGRADE to Batman (Double Butterfly).

Trigger: Single butterfly breakeven +/-250 pts but market swinging +/-400 pts

Action:

1. Keep existing butterfly

2. Add second butterfly at upper edge

3. Combined Batman covers 500-600 pt range

Expect: Slightly lower max profit, dramatically wider safe zone.

SCENARIO D**[SC-04]**

Market breaches upper breakeven 2 days before expiry -> Sell OTM Put Spread in tranches to recover loss gradually.

Example: Upper breakeven breached, max loss Rs. 800

Day 2 (2 days left): Sell 40 PE + Buy 25 PE = collect ~Rs. 250

Day 3: If still outside range, sell another tranche

Expiry: Loss reduced from Rs. 800 to ~Rs. 300

Philosophy: Recover gradually, never desperate single-shot hedging.

SCENARIO E**[SC-05]**

Trade is 50% profitable in 2 days -> Begin converting to No-Loss structure by booking partial profit.

Process:

1. Max profit was Rs.4,000; current P&L; = +Rs.2,000
2. Buy back part of the short ATM options at profit
3. Restructure remaining position so breakeven = 0
4. Now worst case is breakeven; best case is remaining profit

This is 'Full Green' mode – professional exit strategy.

SCENARIO F**[SC-06]**

Strong trend develops mid-week breaking all structure -> Accept defined max loss. Exit. Do not average down or add more legs.

Defined loss is the feature:

If max loss = Rs.1,500 and trend has broken butterfly entirely:

- > Book the Rs.1,500 loss
- > DO NOT add more options to 'recover'
- > DO NOT average the short positions
- > The defined loss was your risk – honor it

Psychology: Knowing max loss removes panic from the decision.

CORE MINDSET

[PS-01]

Butterfly is a PEACE OF MIND strategy. If you are constantly checking, panicking, or adjusting, you are using it wrong.

The strategy is designed so that:
 Small market movements don't affect you
 Overnight gaps don't cause panic
 You have a defined maximum loss you accepted before entry

If you feel stress from a butterfly position, the position size is too large for your comfort level – reduce size, not strategy.

MTM RULE

[PS-02]

If MTM fluctuation is causing emotional decisions, ignore the MTM and monitor only: Is price inside my profit zone? YES or NO.

Binary monitoring:
 Is price between my OTM and ITM hedges? YES -> Do nothing
 Has price broken through a hedge? NO -> Refer to adjustment rules

The rupee P&L; during the week is NOISE.
 The price location relative to your strikes is SIGNAL.

VIEW
ACCEPTANCE

[PS-03]

If view is wrong (market moved against bias), ACCEPT IT. Switch from adjustment to loss management mode.

Behavioral rule:
 1. First 24-48 hrs : Hold position; small moves are normal
 2. Day 3+ : If still against view and approaching max loss
 -> accept view is wrong
 3. Switch from 'waiting for reversal' to 'minimizing loss'
 Ego protection causes traders to hold butterfly through max loss.

Deploy only capital you can lose entirely on this trade. Max loss should be $\leq 2\%$ of total trading capital.

Example:

Total capital : Rs. 5,00,000

Max acceptable loss/trade: Rs. 10,000

Butterfly max loss/lot : Rs. 1,500

Maximum lots allowed : 6 lots

Never over-size a butterfly because 'the risk is so low.'

The risk-reward is favorable, not risk-free.

Quick Reference — Strategy Comparison

Feature	Single Butterfly	Batman	Iron Butterfly	Short Straddle
Legs	3	6	4	2
Side	Single	Single x2	Both	Both
Max Profit	High	Moderate	High	High
Max Loss	Very Low	Low	Very Low	Unlimited
Safe Zone	Narrow	Wide	Narrow	N/A
Overnight Safety	Excellent	Excellent	Excellent	Poor
Adjustment Ease	Medium	Better	Medium	Hard
Expiry Type	Weekly/Monthly	Weekly/Monthly	Weekly/Monthly	Any
Market Condition	Sideways	Choppy Sideways	Sideways	Any

Quick Reference — Decision Table

Market Condition	Directional Bias	Range Expectation	Recommended Structure
Sideways / Flat	Neutral	Normal	Neutral Butterfly
Sideways / Flat	Mildly Bullish	Normal	Bullish Butterfly
Sideways / Flat	Mildly Bearish	Normal	Bearish Butterfly
Choppy / Volatile	Neutral	Wide	Batman (Double Butterfly)
Strong Trend	Bullish	Any	Avoid Butterfly
Strong Trend	Bearish	Any	Avoid Butterfly
Pre-Event	Any	Any	Skip this expiry

Batman Payoff Structure (Schematic)

Single Butterfly:



OTM Hedge ATM (Center) ITM Hedge
(Buy 1) (Sell 2) (Buy 1)

Batman (Double Butterfly):



OTM Peak 1 Flat Peak 2 ITM
Hedge (1st Butterfly) (2nd Butterfly) Hedge

Both peaks profitable | Wide flat zone | Low MTM stress

Glossary of Key Terms

ATM	At The Money — option whose strike price equals the current market price.
ITM	In The Money — Put option whose strike is above current price; Call option whose strike is below.
OTM	Out of The Money — Put option whose strike is below current price; Call option above.
Theta	Time decay. The daily loss in option premium as expiry approaches. Butterfly profits from positive theta.
MTM	Mark to Market — current unrealized profit/loss on an open position.
IV	Implied Volatility — market's expectation of future volatility priced into options.
OI	Open Interest — total outstanding contracts at a given strike. High OI = magnetic price zone.
Batman	Colloquial name for Double Butterfly — two butterfly structures combined for wider profit range.
No-Loss Setup	Converting an existing profitable butterfly so that worst case is breakeven, not a loss.
Debit Spread	Buying a higher-premium option and selling a lower-premium one. Net cost = debit.
Credit Spread	Selling a higher-premium option and buying a lower-premium one. Net income = credit.
Prop Desk	Proprietary trading desk — a team that trades the firm's own capital, not client money.
Breakeven	The market price at which the strategy neither profits nor loses money at expiry.
Expiry/Expiration	Date when the option contract expires. Weekly = Thursday; Monthly = last Thursday of month.

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